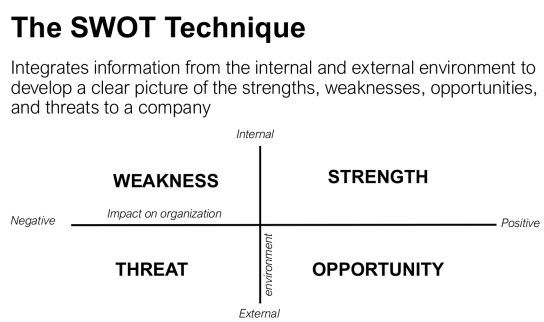
TEP234 Visual + Memory Study Guide

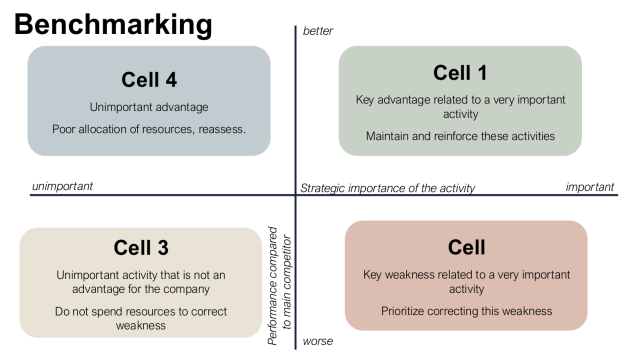
With actual slide visuals, memory tricks, and how each topic is likely to be used

Use this guide like this:

- Look at the visual first.
- Memorize the short bullets beside it.
- Practice the "How it gets tested" line out loud.
- For case questions, always move from **advantage -> customer value -> competitor comparison -> VRIO -> positioning -> conclusion**.

1. Competitive Advantage





What to memorize

- **Asymmetric advantage** = an advantage that helps a startup more than a big established company.
- 4 types: Insight | Action | Asset | Constraint
- High-yield subtypes:
- Insight: grievance, lived reality, future bet
- Action: endurance, intensity, manual labor
- Asset: people, access, relationships, credibility
- Constraint: weakness reversal, simplicity, legacy burden, non-scalability
- SWOT: strengths and weaknesses are **internal**; opportunities and threats are **external**.
- Benchmarking: compare yourself to the main competitor on the criteria that matter most.
- VRIO: **Value, Rarity, Inimitability, Organization**
- TOWS: **SO, ST, WO, WT**

How to memorize it

- For asymmetric advantage, ask 4 questions:

- "What do we know?" "What will we do?" "What do we have?" "What weakness helps us?"
- For VRIO, memorize it as a filter:
- "Does it matter? Is it rare? Can they copy it? Can we actually use it?"
- For benchmarking, memorize the graph:
- important + better = protect
- important + worse = fix first

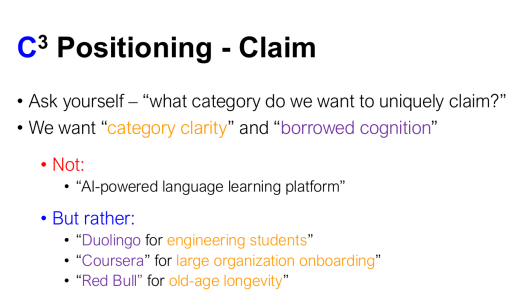
How it gets tested

- Most likely in case studies.
- You may be asked to identify one asymmetric advantage, classify it, and defend it with evidence.
- You may be asked whether something is a **real advantage** or just an interesting feature set.

How to use it in an answer

- "The clearest asymmetric advantage is [type], specifically [subtype]."
- "This matters because the target customer values [x]."
- "Relative to competitor Y, the company is stronger on [x] but weaker on [z]."
- "Using VRIO, this looks valuable and rare, but only partly inimitable, so the advantage seems temporary/emerging rather than fully durable."

2. Positioning and Differentiation



What to memorize

- **Positioning** = where the brand sits in the customer's mind.
- **Differentiation** = what makes it meaningfully different from competitors.
- Differentiate through: price, product, place, promotion.
- C3 positioning = | Claim | Change | Contrast |

How to memorize it

- Think of C3 as:
- **Claim** = what category are we?
- **Change** = what new value/behavior do we create?
- **Contrast** = what are we *not*?
- If your positioning sentence has no tradeoff, it is probably too vague.

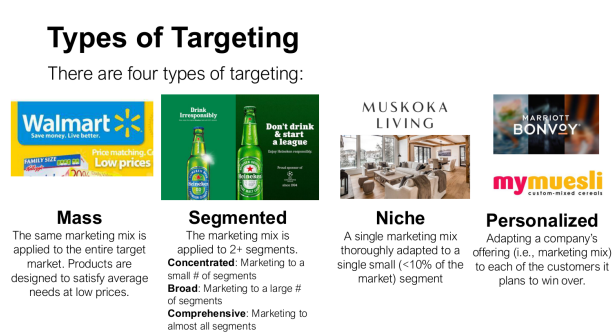
How it gets tested

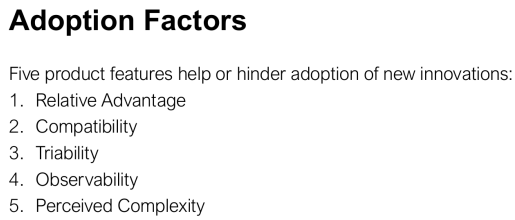
- Very likely in short answer or case studies.
- You may be asked to write a positioning statement relative to a competitor.
- You may be asked why one description is sharper than a broad generic description.

How to use it in an answer

- Template:
- "[Brand] is the [claim] for [target], built around [change], not [contrast]."
- If you only describe features, that is **not** enough.
- You need who it is for, what category it claims, what it changes, and what it refuses to be.

3. Segmentation, Targeting, and Innovation





What to memorize

- Segmentation bases: geographic, socio-demographic, psychographic, behavioral, volume/profitability.
- Targeting types: personalized, mass, niche, segmented.
- Adopter groups: innovators, early adopters, early majority, late majority, laggards.
- 5 adoption factors:
- relative advantage
- compatibility
- triability
- observability
- perceived complexity

How to memorize it

- Segmentation: remember **who the group is**.
- Targeting: remember **how broad your approach is**.
- Adoption factors: ask 5 yes/no questions:
- Is it better?
- Does it fit current habits?
- Is it easy to try?
- Are benefits visible?
- Does it feel simple?

How it gets tested

- Often as short answer.
- You may need to choose the best target segment or explain why a product spreads quickly or slowly.
- In a case, this may appear as "Why would early adopters like this?" or "What feature is blocking adoption?"

How to use it in an answer

- "The best target is [segment] because it is large/growing/reachable/profitable and faces less competition."
- "Adoption is helped by strong relative advantage and low perceived complexity, but slowed by weak observability."

4. Branding

Self Study

Brand Strategy

- Brand Image – The feelings consumers and business hold regarding the overall organization as well as its individual products or product lines
  - What impression does our brand give?
- Brand Association – When consumers consistently connect a product's name with a specific meaning, concept, or idea
  - What do people associate with our brand?
- Brand Personality
  - What are the personality traits that most closely reflect the brand?

Brand Personality

Developed by Jennifer Aaker, the brand personality framework defines brands on 5 components (or personality traits)

- Sincerity
- Excitement
- Complexity
- Sophistication
- Ruggedness

These perceptions are built through the components (tangible and intangible), image, and associations discussed earlier

What to memorize

- **Brand** = a promise; the shortcut people use to predict an experience.
- **Brand image** = how people feel about the brand.
- **Brand association** = what people connect the brand to.
- **Brand personality** = the human traits of the brand.
- Aaker's 5 traits:
- sincerity
- excitement
- competence
- sophistication
- ruggedness

How to memorize it

- Think: **feel, connect, personality**
- Image = feeling
- Association = meaning
- Personality = character
- For Aaker 5, memorize them as:
- honest, exciting, capable, elegant, tough

How it gets tested

- Usually short answer or part of a broader marketing/case question.
- You may need to define brand, explain why branding matters, or say what personality a brand should signal.

How to use it in an answer

- "The brand should project competence and sophistication because the customer needs trust and credibility."
- "A stronger brand reduces uncertainty and increases willingness to pay."

5. Consumer Psychology

We are going to look at 11⁺ Heuristics / Biases that can improve our decision-making

Attractive
- Loss Aversion
- Framing

Social
- Social Proof
- Reciprocity
- Thin Slicing

Easy
- Context Effects
  - Decoy Effect
  - Compromise Effect
  - Defaults
- Anchoring and Adjustment
- Availability and Representativeness

Timely
- Time Discounting and Urgency
  - Planning Fallacy
- Peak-End Rule

Framing
Words can influence thinking (and purchasing)

Imagine that an Antarctic exploration colony is facing a disaster, which could risk the lives of 600 people within the group

One possible program to combat the emergency has been proposed. Assume that the exact scientific estimate of the consequences of this program is as follows:

A: If this program is adopted, 200 people will **be saved**

B: If this program is adopted, there is a 33% chance that all 600 people will **be saved** and a 66% chance that no one will **be saved**

Decoy Effect

Description:

The Decoy Effect occurs when the presence of a third, less attractive option (the decoy) influences people's choices between two other options. This decoy is designed to make one of the original choices more appealing by comparison, subtly guiding decision-makers toward the option that benefits the seller the most. It highlights how the introduction of an irrelevant option can sway consumer preferences.

Experimental Example:

Dan Ariely demonstrated the Decoy Effect in subscription pricing. The options were:

1. Online-only subscription for $59.
2. Print-only subscription for $125.
3. Print + Online subscription for $125.

In this case, the second option (Print-only) acted as the decoy. Although no one chose the Print-only option, its presence made the Print + Online subscription appear much more valuable since it was priced the same but offered more features. Most participants ended up selecting the Print + Online option, illustrating how the decoy steered their decision.

What to memorize

Best memory trick: memorize by the course buckets, not as one giant list.

- Attractive
- loss aversion
- framing
- Easy
- decoy effect
- compromise effect

- defaults
- anchoring
- availability
- representativeness
- Social
- social proof
- reciprocity
- thin slicing
- Timely
- time discounting / urgency
- peak-end rule

How to memorize it

- Step 1: memorize the **4 buckets** first: attractive, easy, social, timely.
- Step 2: for each bias, learn only **one sentence**:
- "What does it make the customer do?"
- Step 3: attach **one marketing example** to each.
- If you know definition + example + use, you know enough for the exam.

Most likely way it gets tested

- Short answer: define one bias and give an example.
- Short answer: explain how a marketer or startup could use that bias.
- Case application: suggest which bias would be useful in a message, offer, sign-up flow, or customer experience.

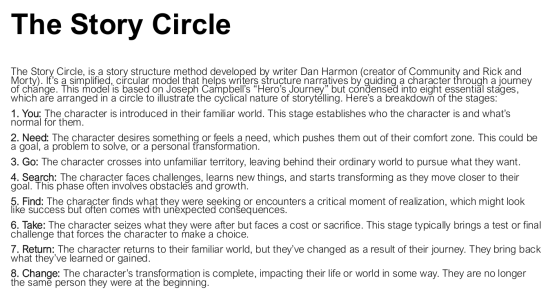
How to use it in answers

- "Use framing by presenting the offer as a gain/loss in a more persuasive way."
- "Use defaults by making the preferred option the pre-selected choice."
- "Use social proof by showing reviews, testimonials, or best-seller labels."
- "Use time discounting by adding urgency or immediate rewards."

Consumer Psychology Cheat Table

Bias	Memory hook	How it is used/tested
Loss aversion	People hate losing more than they like gaining.	Limited-time offers, expiring points, fear of missing out.
Framing	Same facts, different wording, different choice.	“200 saved” vs “400 die”; positive vs negative message framing.
Decoy effect	Add a bad third option to push the choice you want.	Subscription pricing, bundles, menu design.
Compromise effect	People often pick the middle option.	Mid-tier plans and balanced pricing menus.
Defaults	People stick with the pre-set option.	Auto-renew, opt-out choices, pre-checked boxes.
Anchoring	First number shapes later judgment.	Was $200, now $99; premium option makes normal option feel cheaper.
Availability	Easy-to-remember examples feel more likely.	Vivid ads, testimonials, fear-based scenarios.
Representativeness	People judge by stereotype, not probability.	Packaging and imagery that “looks like” the category.
Social proof	People follow other people.	Reviews, influencers, best-seller labels.
Reciprocity	People want to return favors.	Free sample, free trial, bonus gift.
Thin slicing	Fast trust judgments from tiny signals.	Tone, empathy, similarity, confidence, expertise.
Time discounting	Immediate rewards feel stronger than future rewards.	Urgency, instant access, buy now pay later.
Peak-end rule	People remember the peak and the ending.	End customer experience strongly; create a memorable finish.

6. Storytelling and Creativity



The Story Circle

The Story Circle, is a story structure method developed by writer Dan Harmon (creator of Community and Rick and Morty). It's a simplified, circular model that helps writers structure narratives by guiding a character through a journey of change. This model is based on Joseph Campbell's "Hero's Journey" but condensed into eight essential stages, which are arranged in a circle to illustrate the cyclical nature of storytelling. Here's a breakdown of the stages:

1. You: The character is introduced in their familiar world. This stage establishes who the character is and what's normal for them.
2. Need: The character desires something or feels a need, which pushes them out of their comfort zone. This could be a goal, a problem to solve, or a personal transformation.
3. Go: The character crosses into unfamiliar territory, leaving behind their ordinary world to pursue what they want.
4. Search: The character faces challenges, learns new things, and starts transforming as they move closer to their goal. This phase often involves obstacles and growth.
5. Find: The character finds what they were seeking or encounters a critical moment of realization, which might look like success but often comes with unexpected consequences.
6. Take: The character seizes what they were after but faces a cost or sacrifice. This stage typically brings a test or final challenge that forces the character to make a choice.
7. Return: The character returns to their familiar world, but they've changed as a result of their journey. They bring back what they've learned or gained.
8. Change: The character's transformation is complete, impacting their life or world in some way. They are no longer the same person they were at the beginning.

The Creative Template Approach

In Made to Stick, Chip and Dan Heath reference a study conducted by Jacob Goldenberg, Roni Horowitz, Amnon Levav, and David Mazursky, published in the Journal of Advertising Research in 1999. The study is titled “The Creative Template Approach: A Systematic Approach to Creativity in Marketing and Advertising” and identifies six key templates for generating effective, creative advertisements:

1. Pictorial Analogy
2. Extreme Situation
3. Consequence
4. Competition
5. Interactive Experiment
6. Dimensionality Alteration

These templates were shown to be effective in creating ads that stick in people's minds because they align with cognitive structures that help people process and remember information.

What to memorize

- **Intention-Obstacle** = what does the character want, and what blocks them?
- **Story Circle** = you, need, go, search, find, take, return, change.
- **Hero’s Journey** = customer is often the hero; brand is often the mentor.
- Creative template approach:

- pictorial analogy
- extreme situation
- consequence
- competition
- interactive experiment
- dimensionality alteration

How to memorize it

- Intention-obstacle is the easiest:
- goal + barrier = drama
- Story Circle is a loop:
- normal world -> need -> journey -> return changed
- For brand storytelling, remember:
- customer = hero
- brand = mentor

How it gets tested

- Usually short answer or pitch/storytelling application.
- You may be asked how to structure a pitch or brand story more effectively.

How to use it in an answer

- "Frame the customer as the hero facing a clear obstacle, and position the brand as the guide that helps them change."

7. Business Design, Business Plan, and Funding

What to memorize

- Business Model Canvas 9 blocks:
- value proposition
- customer segments
- channels
- customer relationships
- revenue streams
- key resources

- key activities
- key partners
- cost structure
- Business plan sections:
- executive summary
- company and team
- competition / market
- marketing and sales
- operations / technology
- financial plan
- Funding words:
- grants, debt, crowdfunding, angel investors, venture capital

How to memorize it

- For BMC, split it into 3 clusters:
- **customer side**: segments, channels, relationships
- **value side**: value proposition, revenue
- **engine side**: resources, activities, partners, costs

How it gets tested

- More likely as short answer than heavy case analysis.
- You may need to define a block, identify what is missing, or choose a sensible funding path.

How to use it in an answer

- "The weakest BMC element here is [x] because the company has not explained how it will reach/retain/monetize the customer."

8. Fast Final Strategy

1. Memorize competitive advantage + C3 positioning first.
2. Then memorize the consumer psychology buckets and one example for each major bias.
3. Then review targeting, adoption factors, branding, storytelling, and BMC.
4. In case studies, do **not** name every framework. Use 2 to 4 good ones well.
5. Always finish with a clear judgment.

Best last-minute order tonight

1. Asymmetric advantage
2. Benchmarking
3. VRIO
4. C3 positioning
5. Consumer psych buckets
6. Segmentation and targeting
7. Adoption factors
8. Branding